



HCF 8 December 2011

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Agenda

Protection Development Committee work

Smoker amnesty proposal

Protection Strategy Committee work

Plus



Protection Development Committee

- Troponin Working group
- Faster death benefit payments
- Engaging with consumers



Troponin working group

Protection Development Committee

CI heart attack definition in SoBP

New troponin assays – increase in
diagnosis of heart attack

Recommendation by end Q1 2012



Troponin wording

- Introduced in 2006 CI SoBP
- The characteristic rise of cardiac enzymes or Troponins recorded at the following levels or higher;
 - Troponin T > 1.0 ng/ml
 - AccuTnI > 0.5 ng/ml or equivalent threshold with other Troponin I methods.



Troponins

- New more sensitive assays
- Current definition issues
- Cardiologists and CMOs
- Draft 'bridge'
- Draft definition
- Test through back book



TPD

CI SoBP review completed - issued Feb 2011- compliance by end of 2012

Education piece

- Generic ABI presentation for use with advisers
- Section on ABI consumer website with explanations and case studies
- TPD information for claims handlers on members section



IP SoBP 2012

3 strands

- Collect consistent industry data through the template
- Use the data to understand the issues and to keep terms consistent with CI SoBP.
- Ensure IP is robust for use in discussions with Government



Claims statistics

Industry figures published

Term life claims for the last 4 years

Year	Total number of Term Life claims paid	Term Life claims paid as a percentage	Total number of Term Life claims declined	Term Life claims declined as a percentage
2010	29,182	98.2%	534	1.8%
2009	28,549	98.0%	585	2.0%
2008	24,196	97.2%	704	2.8%
2007	33,200	97.0%	900	3.0%



Claims statistics

Industry figures published

Critical illness claims for the last 4 years

Year	Total number of CI claims paid	CI claims paid as a percentage	Total number of CI claims declined	CI claims declined as a percentage
2010	11,161	89.9%	1,248	10.1%
2009	11,816	90.3%	1,265	9.7%
2008	12,750	90%	1,417	10%
2007	10,000	84%	1,900	16%

Association of British Insurers

SURVEY OF LIFE & CI CLAIMS PAID AND DECLINED	2007	2008	2009	2010
Death and CI Claims				
Claims paid as a percentage of claims received	89.0%	93.9%	95.1%	95.3%
Claims declined as a percentage of claims received	11.0%	6.1%	4.9%	4.7%
Declined claims due to non-disclosure (% of claims received)	8.0%	3.0%	2.0%	2.0%
Death claims				
TA - Death claims paid as a percentage of claims received	97.0%	97.2%	98.0%	98.2%
TA - Death claims declined as a percentage of claims received	3.0%	2.8%	2.0%	1.8%
CI & TPD claims				
CI & TPD claims paid as a percentage of claims received	82.0%	88.4%	88.8%	88.7%
CI & TPD claims declined as a percentage of claims received	18.0%	11.6%	11.2%	11.3%

Code introduced





Smoker amnesty

Proposal was put to PSC & PDC for discussion

- 3 month window to disclose
- Pay S rates from that point onwards

Poor take up with previous pilots

Difficult to record & update systems

Impact on honest disclosers



Protection Strategy

Three working groups

- Welfare and Protection (Resilient Society)
- Faster death benefit payments
- Engaging with consumers



Welfare and Protection

Is there a role for the private sector in the provision of welfare benefits?



Insurance vs welfare benefits?

- JSA = Unemployment Cover
- ESA = Income Protection
- Additional Benefits –
Rehabilitation, interview training,
CV training etc.



Possible Models:

- Japanese/German LTC model?
- Motor Insurance – 3rd Party?
- Contracting out?
- Australian PMI model?
- MPPI model?
- Child Benefit/Housing Benefit?



The Scale of the Challenge

- Capacity & capability
- Transfer of staff
- Transfer of claimants over time
- Product changes



What are we doing?

- Meetings arranged with HMT, DWP, DoH & FSA to May 2012
- Nick Kirwan co-chairing the Welfare and Protection Steering group
- Nick Kirwan co-lead for the LTC financial sector strand



Faster death claims payments

Guidance launched in May 2011

Single life death claims – delays caused by probate

Indemnity form

Very positive press coverage

Email to MPs to advise



Faster death claims payments

Post implementation review carried out after 3 months

Decrease in pay out times

Missing People organisation

Positive PR opportunity



Consumer engagement

Working grp – how we can better
engage with consumers

Spoken to MAS

Looked at models overseas

Aims



Plus

Climatewise – impact of climate change on morbidity for Protection and Health products

- Working with Cambridge University
- London School of Hygiene and Tropical Medicine